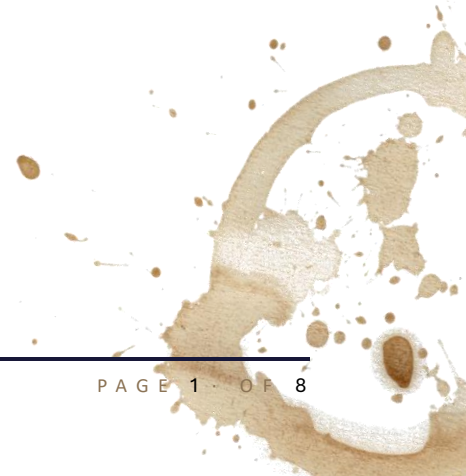

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U.S. ECONOMICS NEWS

- ◆ **Semiconductor Surge:** Worldwide semiconductor sales hit a record \$298.5 billion in Q1 2026, up 79.2% year-over-year, driven by AI, robotics, and consumer devices. Asia Pacific led regional growth at +108.5% in March alone. The S&P 500 Tech Index returned 29.1% over the same trailing 12 months, reflecting the historically tight correlation between chip sales and tech equity performance.³
- ◆ **AI Capex:** The top five U.S. hyperscalers are projected to spend \$691 billion in capital expenditures in fiscal 2026, up 82% from \$379 billion in 2025, fueling record semiconductor demand and pushing semiconductor subsector earnings growth estimates to 117.6% for the full year, nearly double the 58.5% estimate from January 2026.³
- ◆ **Fed Holds:** At Chair Kevin Warsh's second FOMC meeting, rates were held at 3.50–3.75%, though three Powell-era governors dissented in favor of an immediate hike — a meaningful signal of internal division. Futures markets now price roughly 50/50 odds of a September hike, pushed back from near-certainty, as Warsh signaled preference for balance sheet tools over rate increases.³
- ◆ **Q2 GDP Miss:** Real GDP grew at a 1.5% annualized rate in Q2 2026, missing the 2.0% consensus and slowing from Q1's 2.1%. Net exports subtracted 1.0 percentage point and inventories dragged a further 0.7 points. Critically, excluding AI-linked equipment and intellectual property investment, real GDP was essentially flat — underscoring how narrowly concentrated the economy's growth engine has become.³
- ◆ **PCE Inflation:** The PCE deflator dipped 0.1% in June as Iran War tensions paused and oil prices eased, but remains elevated at 3.7% year-over-year. Core PCE rose 0.1% in June and sits at 3.3% annually — notably above the 2.8% pace from a year earlier — suggesting underlying inflation is re-accelerating even as energy temporarily retreats.³
- ◆ **AI-Dependent Growth:** Stripping out AI-related equipment and intellectual property from GDP, the U.S. economy grew just 0.3% annualized in Q1 and was essentially flat in Q2 2026. Business fixed investment rose at a 9.5% annualized pace in H1, dwarfing consumer spending growth of 1.8%, as hyperscalers race to build out data center infrastructure projected to reach nearly \$700 billion in capex this year.³



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DIGITAL ASSETS NEWS

- ◆ **Bitcoin decoupling from equities may limit Fed fallout:** Analysts note that bitcoin's historically tight correlation with stocks has loosened in recent months, meaning Wednesday's Federal Reserve meeting could have a more muted impact on crypto markets than on traditional risk assets. If the decoupling holds, crypto may sidestep some of the volatility that rate-sensitive equities typically absorb around Fed decisions.⁵
- ◆ **DeFi Tokens Spearhead Crypto Recovery as Hormuz Tensions Ease:** As fears of a prolonged U.S.-Iran conflict in the Strait of Hormuz subsided following a pause in strikes, decentralized finance tokens outpaced the broader crypto market's rebound. AAVE climbed 9%, Lido's LDO surged 9.39%, and ONDO gained 7%, signaling renewed investor appetite for yield-bearing and real-world asset protocols amid stabilizing geopolitical risk.⁵
- ◆ **U.S.-listed spot bitcoin ETFs extend inflow streak:** Products tracking bitcoin directly recorded their first three-consecutive-week inflow streak since early May, drawing \$33.79 million in net new capital during the week ended July 24. The sustained demand signals renewed institutional and retail appetite for regulated crypto exposure, reversing a prolonged period of outflows that had weighed on sentiment across digital asset markets.⁵
- ◆ **Senate Floor Timeline Uncertain for Digital Asset Market Clarity Act:** As of July 31, the Senate had not filed a motion to proceed — a required procedural step — for the Digital Asset Market Clarity Act. Industry advocates are pushing for that vote this week, which would formally place the bill on the legislative calendar and position it for a full Senate vote when lawmakers return from recess in September.⁵

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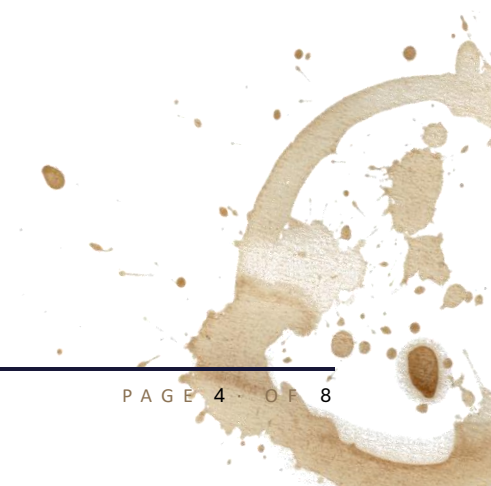
GEOPOLITICS NEWS

- ◆ **China:** Beijing is reportedly supplying Iran with up to 400 shoulder-fired MANPADS (QW-12 and FN-16 systems) worth \$60–70 million, routed through Pakistan, as Tehran scrambles to rebuild short-range air defenses. China's Foreign Ministry denied the reports. Separately, the Trump administration is spending \$175M to replace aging undersea telecom cables in the Caribbean and Central America to prevent Chinese infrastructure encroachment.¹
- ◆ **Iraq:** The U.S. and Saudi Arabia conducted joint airstrikes on Iran-backed Popular Mobilisation Forces across Iraq, killing at least 20 militants, in the first U.S. military action in the region since Trump's brief pause of the Iran bombing campaign. Iraq's government condemned the use of its territory as a launchpad for attacks but has limited control over the PMF militias.¹
- ◆ **Israel:** A fringe settler group called "Pioneers of Bashan" has been making repeated incursions into Israeli-occupied southern Syria in an attempt to establish Jewish outposts, occurring every few days recently. The Israeli military has been tasked with stopping them but they have strong backing from elements of Israel's far-right government. Separately, Israel struck Gaza over the weekend despite a newly announced Hamas disarmament deal, killing at least 17 people including children.¹
- ◆ **Russia:** Ukraine struck two of Russia's largest oil refineries — Rosneft's Ryazan facility and Lukoil's Perm facility — with a combined daily processing capacity of around 600,000 barrels, continuing a sustained campaign causing fuel shortages across Russia. Ukrainian drones also struck logistics infrastructure including multiple Wildberries warehouses. Separately, Russia charged Telegram founder Pavel Durov with aiding terrorism, issuing an international arrest warrant after accusing the platform of hosting channels used by Ukrainian intelligence to coordinate sabotage inside Russia.¹
- ◆ **Ukraine:** Ukraine's chief peace negotiator Rustem Umerov was moved to head foreign intelligence as Zelensky continued a sweeping reshuffle of senior officials. His predecessor as defence minister publicly attributed his dismissal to resistance from within the ministry over procurement reform efforts he was implementing. The reshuffle has fueled public anger and street protests.¹
- ◆ **United States:** U.S. missile defense stockpiles have been significantly depleted by the Iran war, with fewer than 827 Patriot interceptors and 278 THAAD missiles remaining — down sharply from pre-war levels of roughly 2,200 and 452 respectively. Analysts warn the U.S. may have to accept greater interception risk with no near-term alternative systems available. Separately, Trump's pick Jay Clayton was confirmed as Director of National Intelligence on a party-line Senate vote. A State Department presentation at an international AIDS conference in Brazil displayed an AI-generated map that mislabeled every country in Africa.¹

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THE GOOD NEWS

- ◆ **Recycling Automation:** Waste Management has completed 38 of 39 planned upgrades across its recycling network under a \$1.4 billion capital program. The automated facilities use AI and operational data to deliver a sustained 30% reduction in labor cost per ton versus legacy plants, contributing to \$6.68 billion in Q2 2026 revenue — up 4% year over year.²
- ◆ **Drone Deliveries:** DoorDash secured FAA Part 135 air carrier certification, making it one of only a handful of US companies authorized to run commercial drone delivery under its own certificate. The company launched DoorDash Air through its in-house robotics division and is developing its own aircraft, signaling a shift from third-party drone partnerships toward vertically integrated aerial delivery infrastructure.²
- ◆ **LNG Expansion:** Mexico's Energia Costa Azul terminal shipped its first LNG cargo in July 2026, tripling Mexico's export capacity by adding 0.4 Bcf/d. Situated on the Pacific Coast — a rare positioning for North American LNG facilities — it cuts shipping distances to Asian markets significantly, bringing total Pacific Coast export capacity to 2.2 Bcf/d and diversifying global energy supply routes.²



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DIVIDEND PORTFOLIO NEWS

- ◆ **ADP:** Q4 Non-GAAP EPS of \$2.64 beat by \$0.04 on revenue of \$5.48B, capping a strong FY2026. Management guided FY2027 for adjusted EPS growth of 9%–11% and revenue growth of 5%–6%.⁴
- ◆ **CHD:** Q2 Non-GAAP EPS of \$0.89 missed by \$0.01, but revenue of \$1.53B beat by \$20M, driven by portfolio repositioning and increased ad spending. Management projects 4%–5% organic sales growth and \$1.175B operating cash flow for 2026. Church & Dwight also declared a \$0.3075 quarterly dividend.⁴
- ◆ **CL:** Non-GAAP EPS of \$0.99 beat by \$0.04 on in-line revenue of \$5.36B, but soft North American organic sales weighed on the stock. Management flagged roughly flat 2026 gross margins as higher raw material costs and tariff headwinds are expected to intensify in H2.⁴
- ◆ **GD:** Q2 GAAP EPS of \$4.24 beat by \$0.27 on revenue of \$14.1B, beating by \$560M, with aerospace and defense both contributing. Management forecasts 2026 revenue of ~\$55.7B and EPS of \$16.80–\$16.90, with backlog reaching \$136.5B. GD also won submarine contract modifications and a \$229.7M Hammerhead contract modification.⁴
- ◆ **LMT:** Lockheed secured a landmark \$58.6B U.S. contract to produce Patriot missiles, and a separate Pentagon budget request targets \$18.2B for high-tech missile replenishment — a strong demand signal.⁴
- ◆ **LRCX:** Q4 Non-GAAP EPS of \$1.82 beat by \$0.14 on revenue of \$6.72B, up ~30% Y/Y. Management guided September-quarter revenue of \$8.1B and sees wafer fabrication equipment spending in the low \$150B range.⁴
- ◆ **NEE:** Declared a quarterly dividend of \$0.6232 per share. Separately, NextEra and Brookfield announced a joint \$100B data center campus development in Kentucky, a major long-term growth catalyst tied to surging power demand from AI infrastructure.⁴
- ◆ **PCAR:** Q2 GAAP EPS of \$1.43 beat by \$0.07 on revenue of \$7.55B, beating by \$500M. Management guided Q3 gross margin of 14.5% and targets a 250,000-unit 2026 U.S./Canada truck market.⁴
- ◆ **QCOM:** Q3 Non-GAAP EPS of \$2.21 missed by \$0.01 on revenue of \$9.95B, beating by \$280M, but handset revenue dropped 20% Y/Y. Management said Q3 represents the trough and outlined an ambitious \$40B non-handset revenue target by fiscal 2029, with automotive exit run rate raised to \$7B. Q4 EPS guidance came in below consensus.⁴
- ◆ **STLD:** Goldman Sachs reinstated Steel Dynamics at Buy, arguing the market is undervaluing the ramp-up of its aluminum business — a potential meaningful earnings diversification driver.⁴
- ◆ **SYK:** Q2 Non-GAAP EPS of \$3.69 beat by \$0.20 on revenue of \$6.6B, beating by \$20M, but shares fell on the day. Management raised 2026 guidance to 8.3%–9.3% organic sales growth and \$14.95–\$15.10 adjusted EPS, and confirmed resumption of share repurchases.⁴

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GROWTH PORTFOLIO NEWS

- ◆ **AEM:** Agnico Eagle reported Q2 Non-GAAP EPS of \$3.07, beating by \$0.16, though revenue of \$3.8B missed slightly. The company outlined a 3.3–3.5 million ounce 2026 production range and targets 20–30% output growth over the next decade. A \$0.45 quarterly dividend was declared.⁴
- ◆ **CNX:** CNX Resources delivered a strong Q2 beat — GAAP EPS of \$1.32 beat by \$0.72, revenue of \$618.4M beat by \$137.9M. Management outlined approximately \$90M in annual run-rate revenue from 45Z tax credits and environmental attributes, with Treasury guidance expected soon.⁴
- ◆ **CVX:** Chevron posted its highest quarterly profit in six years — Non-GAAP EPS of \$6.06 beat by \$0.49, revenue of \$70B beat by \$9.62B, with worldwide production up 20% on record U.S. output. Trump publicly pressured Chevron and peers to cut retail fuel prices.⁴
- ◆ **EIX:** Edison International reported Q2 Non-GAAP EPS of \$1.54, beating by \$0.33, while revenue missed. Shares fell 5% after warning the California legislature may not act on wildfire liability legislation by the August 31 deadline. Management reaffirmed 2026 core EPS guidance of \$5.90–\$6.20.⁴
- ◆ **FTNT:** Fortinet delivered a strong Q2 beat — Non-GAAP EPS of \$0.90 beat by \$0.15, revenue of \$2.05B beat by \$160M. Full-year billings guidance was raised to \$9.35B–\$9.55B, with 2026 EPS forecast at \$3.41–\$3.47.⁴
- ◆ **HOOD:** Robinhood reported Q2 revenue of \$1.31B (beat by \$30M), GAAP EPS of \$0.62 (beat by \$0.19), with event contracts surging 10x year-over-year. The company launched a \$200M Ventures Fund II IPO roadshow and lowered its 2026 adjusted OpEx outlook while targeting a Robinhood Social rollout by quarter-end.⁴
- ◆ **NXPI:** NXP reported Q2 Non-GAAP EPS of \$3.61, beating by \$0.08, and revenue of \$3.5B, beating by \$40M, but shares declined on mixed auto recovery signals. Q3 guidance midpoints were set at \$3.75B revenue and \$4.11 EPS.⁴
- ◆ **TSM:** The company is working on new advanced chip packaging technology similar to Intel's, and is gradually resuming Japan operations after an earthquake disrupted facilities in the region.⁴

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SUMMARY

In regard to the United States Economy, the headline story is AI-driven capital spending. The top five U.S. hyperscalers are projected to deploy \$691 billion in capital expenditures in 2026, fueling record semiconductor sales of \$298.5 billion in Q1. Yet beneath these figures, fragility is evident — strip out AI-related investment and GDP growth was essentially flat in Q2, while core PCE inflation at 3.3% remains stubbornly above target, complicating the Fed's path forward.

In the world of digital assets, sentiment is cautiously improving. Spot bitcoin ETFs recorded their first three-consecutive-week inflow streak since May, drawing nearly \$34 million in net new capital. Bitcoin's loosening correlation with equities may help crypto weather upcoming Fed decisions with less volatility than traditional risk assets. DeFi tokens led the broader recovery as Iran-related tensions eased, with AAVE, LDO, and ONDO each posting meaningful gains. Legislative clarity remains pending in the Senate.

Recently around the globe, the U.S.-Iran conflict continues reshaping the strategic landscape. American missile defense stockpiles have been sharply depleted, with Patriot and THAAD inventories well below pre-war levels. China is reportedly supplying Iran with air defense systems while the U.S. conducted joint airstrikes on Iranian-backed militias in Iraq. Ukraine continued striking Russian oil infrastructure. A sweeping leadership reshuffle in Kyiv has triggered public protests and raised questions about government cohesion at a critical moment.

For the good news, automation and infrastructure are delivering meaningful gains. Waste Management completed its \$1.4 billion recycling network upgrade, achieving a sustained 30% reduction in labor costs through AI-powered facilities. DoorDash earned FAA air carrier certification, launching commercial drone delivery with proprietary aircraft. Mexico's first Pacific Coast LNG terminal shipped its inaugural cargo, tripling export capacity and cutting shipping distances to Asian markets, meaningfully diversifying global energy supply routes.

In the news for the dividend portfolio, defense and industrials dominated earnings. Lockheed Martin secured a landmark \$58.6 billion Patriot missile contract as Pentagon replenishment spending surges. General Dynamics beat on revenue with a \$136.5 billion backlog. Lam Research posted 30% year-over-year revenue growth, with management citing an extraordinary runway into 2027. ADP and Stryker both raised guidance, while NextEra announced a joint \$100 billion data center campus tied to AI power demand.

And, for the growth portfolio, Chevron posted its highest quarterly profit in six years with production up 20%. Fortinet beat estimates and raised full-year billings guidance. Robinhood surged on event contracts growing tenfold year-over-year alongside UK crypto approval. TSMC recovered sharply after six consecutive losing sessions. Nvidia remains central to AI infrastructure while facing export compliance scrutiny. CNX Resources beat estimates significantly and outlined new tax credit revenue streams ahead.

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RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
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